

Pricing and Margin Relations

List Price = (set by seller)

Selling Price = List Price – Trade Discounts

$$\text{Selling Price} = \frac{\text{COGS}}{1 - (\% \text{Gross Margin})}$$

Selling Price = COGS (1 + %Markup)

Net Price = Selling Price – Cash Discounts

Net Sale = Net Price – Adjustments

Costs and Margins

COGS = Cost of Merch + Freight (retailer paid)

COGS = Cost of Merch (1 – %Lead Disc)(1 – %Subseq Disc)

Gross Margin Dollars = Selling Price – COGS – Adjustments

$$\% \text{Gross Margin} = \frac{\text{Selling Price} - \text{COGS}}{\text{Selling Price}} \times 100\%$$

$$\% \text{Gross Margin} = \frac{\% \text{Markup}}{1 + \% \text{Markup}} \times 100\%$$

$$\% \text{Markup} = \frac{\text{Selling Price} - \text{COGS}}{\text{COGS}} \times 100\%$$

Profit Ladder

EBITDA = Gross Margin Dollars – Operating Expense – SG&A

EBIT = EBITDA – D&A

NPBT = EBIT – Interest

NPAT = NPBT – Taxes

Cash Flow Cycle

Cash in Bank → Purchased Inventory → Sold Inventory
→ Accounts Receivable → Cash in Bank

Working Capital Metrics

$$\text{Days Receivables} = \frac{\text{Receivables} \times 365}{\text{Sales}}$$

$$\text{Inventory Turn} = \frac{\text{COGS (from Inventory)}}{\text{Avg Warehouse Inventory}}$$

$$\text{GMROI} = \frac{\text{Gross Margin Dollars on Warehouse Sales}}{\text{Avg Warehouse Inventory}}$$

Other

$$\text{Annual Depreciation} = \frac{\text{Current Price} - \text{Salvage Value}}{\text{Useful Life}}$$

$$\% \text{Change} = \frac{\text{Original Value} - \text{Changed Value}}{\text{Original Value}}$$

$$\frac{\% \text{Discount}}{1 - \% \text{Discount}} = \frac{365}{\text{Total Days} - \text{Discount Days}}$$

Month : Days

Jan 31, Feb 28/29, Mar 31, Apr 30, May 31, Jun 30

Jul 31, Aug 31, Sep 30, Oct 31, Nov 30, Dec 31

Pricing / Profit Impact

Raise prices: volume to keep profit

+2% price	92.6%
+5% price	83.3%
+10% price	71.4%
+20% price	55.5%

Cut prices: sales increase needed

2% cut	+8.7%
5% cut	+25.0%
10% cut	+66.7%
20% cut	+400%

EBITDA impact

Grow sales +5%	EBITDA +6.69%
Reduce COGS 2%	EBITDA +15.50%
Reduce expenses 5%	EBITDA +10.66%
Raise prices +2%	EBITDA +20.95%

Six Ways to Make Money

Buy (1.5% to 2%) Lower

Sell (<2%) Higher

Collect 3 to 5 Days Sooner

Pay Later

Turn Inventory More Often

Decrease OE

Principle of Effective Communication

Question → Answer → Discussion

Economics of Distributor Profit Optimization

Product ↔ Presence ↔ Processes ↔ Performance

Steps of the Selling Process

ATTENTION

DISCOVERY

SOLUTION

COMMITMENT

You’ve Decided to Start a Business!

What do you need?

People, Location, Equipment, Working Capital (Inventory, Receivables, Cash)

Where are you going to get it?

Bank, Private Investor, Suppliers

Simple Interest

$$I = PRT$$